

**I. FOR THE POST OF SENIOR ECONOMIC INVESTIGATOR UNDER PLANNING
& CONVERGENCE DEPARTMENT.**

ECONOMICS

Microeconomics

Theory of consumer behaviour, indifference curve approach; consumer's equilibrium; income, substitution and price effects; production function; law of variable proportions; isoquants: factor substitution; equilibrium of the firm with respect to input use; price determination under perfect competition, monopoly and monopolistic competition, Pareto's welfare criteria.

Macroeconomics

Say's law, the Keynesian theory of income determination, investment multiplier, Keynesian theory of interest, IS-LM approach to the determination of interest.

Money, Banking and International Trade

Inflation: Causes and effects; demand pull and cost push inflation, control of inflation, commercial banking; credit creation, investment policy, recent reforms in Commercial Banking; functions of a Central Bank.

International Trade: Ricardian and Heckscher-Ohlin theories, free trade Vs. Protection; balance of trade and balance of payments, Disequilibrium in balance of payments, causes and methods of its correction.

Indian Economy

Land reforms, new agricultural strategy and green revolution, agricultural marketing and pricing, rural credit system, new economic policy, industrial policies, industrial licensing policy — MRTP ACT, FERA and FEMA, Role of public sector and private sector in industrial development.

Public finance

Public good and private goods, externalities and the role of Government, effects of tax on production, distribution and economic activities: principles of taxation: benefit theory, ability to pay theory, direct and indirect taxes, balanced and unbalance budget; deficit financing.

Development and Environmental Economics

Indicators of economic development Marxian theory of development, Schumpeter and capitalist development, Harrod-Domar theory of steady growth, WTO and developing Countries, Environment and Economic linkage, market failure for environment goods, concept of sustainable development, obstacles to sustainable development.

Role of foreign capital and technology in growth. The significance of multinationals. Welfare indicators and measures of Growth-Human development indices-The basic needs approach.

Concept of sustainable development; convergence of levels of living of developed and developing Countries; meaning of self-reliance in growth and development.

- I. **Indian economics in post-independent Era:** Contributions of Vakil, Gadgil and Rao. National and per capita income; patterns, trends, aggregate and sectoral composition and changes therein. Broad factors determining national income and its distribution; measures of poverty. Trends in below poverty-line proportion.



- II. **Employment:** Factors determining employment in short and long periods. Role of Capital, wage-goods, wage-rate and technology. Measures unemployment. Relation between income, poverty and employment, and issues of distribution and social justice. Agriculture-institutional set-up of land system, size of land holdings and efficiency —green revolution and technological changes- agricultural prices and terms of trade- role of public distribution and farm subsidies on agricultural prices and production. Employment and poverty in agriculture-rural wages-employment schemes growth experience-land reforms. Regional disparities in agricultural growth. Role of agricultural in expert.
- III. **Industry:** Industrial system of India: Trends in composition and growth. Role of public and private sectors, role of small and cottage industries. Indian industrial strategy-Capital versus consumer goods, wage-goods versus luxuries, capital-intensive versus labour-intensive techniques, sickness and high-cost industrial policies and their effects. Recent moves for liberalisation and their effects on Indian industry.
- IV. **Money and Banking:** The monetary institutions of India: Sources of reserve money, techniques of money supply regulation under open economy. Functioning of money market in India. Budget deficit and money supply. Issues in reform of monetary and Banking Systems.
- V. **Index numbers of price levels:** Course of price level in post-independence period sources and causes of inflation-role of monetary and supply factors in price level determination — policies towards control of inflation. Effects of inflation under open economy.
- VI. **Trade, Balance of payments and exchange:** Foreign trade of India; composition and direction shifts in trade policy, from import substitution to export promotion. Impact of liberalisation on pattern of trade. India's external borrowings-the debt problem. Exchange rate of the rupee; devaluations, depreciations and their effects on balance of payments-convertibility on current and capital accounts-rupee in an open economy. Integration of Indian economy with World economy-India and the WTO.
- VII. **Public Finance and Fiscal Policy:** Composition of and trends in India's public. Revenue and expenditure-role of taxes (direct and indirect) and subsidies-fiscal deficits-public expenditures and their significance-public finance and inflation-debt trap and limiting Government's debt-recent fiscal policies and their effects.

